Cloudbank. Cloudbank A has a nice rounded top, like traders build a geodesic dome. The bottom of the pattern rests on support, which I show as a horizontal line. This example looks compact and tidy, but consider cloudbank D. The shape of the cloud is irregular and more typical of the cloud pattern. Price rests on support, shown by horizontal line D. Clearly D is not an ideal example.

Table 18.1 Identification Guidelines

Characteristic	Discussion
Appearance	A layer of resistance often years long precedes a significant decline. The pattern looks like a bank of storm clouds looming far above price.
Scale	Use the monthly scale to find cloudbanks because these patterns often last for years.
Cloudbank	Look for a sideways move that's years long (a common support area). The top of the cloud can be uneven, and the bottom can have lots of gaps where price doesn't touch a horizontal line.
Plunge	Look for a *minimum* drop of 40%. The larger the drop, the higher the potential for a rewarding profit. Often this drop is swift (but still lasting several months), a straight-line drop down. After such a straight plunge, look for a swift, V-shaped recovery. In a bear market, expect the bottom to be 60% to 70% below the cloudbank.
Events	Check company news to see if any significant events are responsible for the stock's drop. Is it a one-time event or more systemic? This applies mostly to cloudbanks outside of bear markets.
Bear market	Many cloudbanks appear before and during a bear market.
Recovery	Recovery should occur at the start of a bull market (if you can tell when that is). Watch other stocks to see if the market is starting to move higher, discounting bad news and perking up on good news.